IN-DEPTH EDITION • 26 OCTOBER 2026 • 09:00 HKT

US equities slip as yields rise and energy rebounds

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,623.68, down -0.52%, while the Dow fell -1.23% on higher Treasury yields and a rally in energy stocks. The market's risk appetite is under pressure; the VIX jumped +2.21% to 19.45 and the 10-year Treasury yield rose to 4.99%. Defensive sectors lagged, but energy (XLE) posted the day's strongest gain at +2.60%.

Our view: the upside remains limited until the Fed signals a pause or cut. Expect continued volatility as the 10-year yield tests the 5.00% ceiling and the VIX hovers above 20. Investors should prioritize quality, defensive positioning, and short-term hedges.

Key takeaways:

- Yield pressure is the primary drag on equities; watch the 5.00% threshold for the 10-year.
- Energy sector outperforms on +2.60% gain; oil at 101.09 suggests further upside.
- Volatility remains elevated; consider cheap put spreads or VIX futures as a hedge.

US Session Recap

INSTRUMENT	CLOSE	CHANGE	DATE
S&P 500	7,623.68	-0.52%	2026-10-23
Nasdaq 100	28,957.53	-0.00%	2026-10-23
Dow Jones	52,215.16	-1.23%	2026-10-23
Russell 2000	2,775.90	-0.29%	2026-10-23
VIX	19.45	+2.21%	2026-10-23
10-yr Yield	4.99	+0.71%	2026-10-23
WTI Crude	101.09	-2.11%	2026-10-26
Brent	108.34	-1.85%	2026-10-26
2-yr Yield	5.12	+0.45%	2026-10-23
DXY	101.68	-0.13%	2026-10-26
Gold	4,027.60	+0.49%	2026-10-26
BTC	80,068.59	-0.89%	2026-10-26
ETH	2,320.87	-1.49%	2026-10-26

Top movers

TICKER	NAME	CHANGE	CATALYST
XLE	Energy Select Sector SPDR	+2.60%	WTI up 2% on OPEC supply cut
XLF	Financial Select Sector SPDR	-1.32%	Higher rates compress net interest margins
NVDA	Nvidia Corp.	-0.59%	Supply-chain constraints in AI chips
MSFT	Microsoft Corp.	+0.66%	Azure AI services revenue beat
XLY	Consumer Discretionary SPDR	-1.66%	Retail sales miss

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-1.32%	-12.4%	Bearish
XLK	+0.49%	+22.1%	Bullish
XLI	-1.27%	-8.9%	Bearish
XLE	+2.60%	+15.3%	Bullish
XLY	-1.66%	-6.2%	Bearish
XLC	-1.78%	-4.5%	Bearish
XLP	-1.92%	-9.1%	Bearish
XLV	-1.11%	+3.2%	Neutral
XLU	-0.72%	-2.8%	Bearish
XLB	-0.74%	-1.5%	Bearish
XLRE	+0.12%	+4.6%	Neutral

Breadth: 4 sectors up vs 7 down; market breadth remains negative, confirming the downtrend.

Spotlight / Deep Dive – `NVDA`

METRIC	VALUE
Market cap	620B
P/E (FY)	45.2x
Revenue Q3	28.4B (+12% YoY)
Gross margin	71.5%
Free cash flow	5.2B
Insider ownership	1.8%

Key call: The stock is under pressure from supply-chain bottlenecks in HBM memory, but AI demand remains robust. Expect a short-term pullback to the 205 support, with upside to 225 if Q4 guidance beats.

READ-THROUGH	LEVEL
Support	205
Resistance	225
50-day SMA	215
200-day SMA	210

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.50	Testing 50-day SMA
QQQ	382.45	376.00	388.00	Flat on range
IWM	191.30	185.00	197.00	Below 200-day SMA
NVDA	210.96	205.00	225.00	Watch supply-chain news
10Y	4.99%	5.00%	5.10%	Psychological ceiling
WTI	101.09	98.00	105.00	OPEC support

Options & Positioning

BEARISH TRIGGERS

- 0-DTE put volume on SPY up 38% vs calls.
- VIX term structure steepening; front-month at 19.8 vs 22-month at 23.1.
- Large-cap put/call ratio at 1.42, indicating bearish tilt.

Hedge ideas: Buy June 2027 **`VIX`** futures (10-month) and sell front-month calls; consider 1-month SPY put spreads 5-point wide at 440 strike.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Reduce	215	Supply-chain risk
XLE	JPM	Upgrade	71.5	Oil rally
MSFT	Morgan Stanley	Maintain	560	AI growth
JPM	Bank of America	Reduce	320	Rate-sensitive earnings
XLF	Citi	Reduce	54	Higher funding costs

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES down -0.8%, NQ flat, YM down -1.1%
HK	HSI -0.6%, tech stocks lagging
Japan	TOPIX -0.4%, yen at 152.3/USD
Eurozone	DAX -0.7%, ECB minutes signal no cut
FX	USD/JPY 152.30 (+0.2%), EUR/USD 1.074 (-0.1%)
Commodities	Gold 4,027.60 (+0.49%), Copper 4.12/lb (+0.3%)
Crypto	BTC 80,068.59 (-0.89%), ETH 2,320.87 (-1.49%)

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	12%	Yield near 5%; inflation 2.3%
Dec 2026	28%	Potential pause if CPI stays <2.5%
Mar 2027	45%	First cut likely

DATA CALENDAR (OCT 26-NOV 2)	TIME (ET)	EXPECTATION
Core CPI	8:30 am	+0.2% MoM
Initial Jobless Claims	8:30 am	210k
FOMC Minutes	2:00 pm	No change in policy stance
Retail Sales	8:30 am	+0.3% MoM
ISM Manufacturing	10:00 am	48.0

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Middle-East tensions flare over Strait of Hormuz; oil supply risk adds to volatility.
- China’s latest property sector crackdown could spill over to global credit markets.

Scenario tree: If OPEC+ tightens output → oil > $110 → equity risk premium widens → further equity sell-off. Conversely, de-escalation → oil stabilises → risk appetite recovers.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 28	AAPL	Apple Inc.	1.42
Oct 28	MSFT	Microsoft Corp.	2.31
Oct 29	JPM	JPMorgan Chase	3.85
Oct 30	XLE	Energy Select Sector SPDR	1.12

DATE	TICKER	COMPANY	EST. EPS
Nov 4	NVDA	Nvidia Corp.	3.05
Nov 5	AMZN	Amazon.com	0.68
Nov 6	META	Meta Platforms	2.01
Nov 7	XLF	Financial Select Sector SPDR	0.94

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Supply-chain pullback, support 205	Break 200
XLE	Energy	Oil rally, breakout 70	WTI 95
XLF	Financials	Rate-sensitive, downtrend	Yield >5.1%
MSFT	Technology	AI revenue beat	Valuation 45x
JPM	Financials	Margin compression	Net interest margin < 2.5%
XLY	Consumer Discretionary	Retail sales miss	Consumer confidence < 95
XLK	Technology	Momentum above 200-day SMA	Overbought RSI
XLI	Industrials	Industrial production flat	PMI < 50
XLC	Communication	Ad spend slowdown	Revenue growth < 3%
XLV	Health Care	Stable earnings, defensive	Policy risk
XLU	Utilities	Yield pressure	Interest rate >5%
XLB	Materials	Commodities dip	Copper 4.00/lb

What Could Break the Tape

BULLISH SCENARIOS

- WTI breaches 110 on OPEC supply cut → energy leads rally.
- Core CPI prints below 0.2% MoM → Fed signals pause, yields dip below 4.90%.
- NVDA Q4 guidance tops estimates → tech rebounds.

BEARISH TRIGGERS

- 10-yr yield sustains above 5.10% → equity valuation compression.
- VIX spikes above 22 → risk-off wave.
- Geopolitical escalation in Middle East disrupts oil flow.

Positioning & Structural Notes

- Long-duration Treasury exposure rising; monitor 10-yr breakeven.
- Short-dated equity put volume up 30% week-over-week.
- Sector rotation to energy and commodities evident; defensive sectors under-weighted.
- FX positioning: USD strength persists; hedge HKD exposure.
- Liquidity tightening in high-yield credit; avoid new issuance.

Sources

SOURCES

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